Au Small Finance Bank

Q4FY22 Result Update | **BFSI**

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

27 April 2022

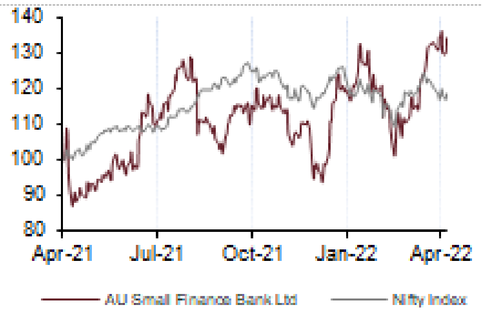
Strong Quarter; Asset quality Improving

Rating	TP (Rs)	Up/Dn (%)
HOLD	**1,538**	**9**

Market data		
Current price	**Rs**	**1,416**
Market Cap (Rs.Bn)	(Rs Bn)	446
Market Cap (US$ Mn)	(US$ Mn)	5,812
Face Value	Rs	10
52 Weeks High/Low	Rs	1466 / 910
Average Daily Volume	('000)	1,063
BSE Code		540611
Bloomberg		AUBANK.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	**Mar-22**	**Dec-21**
Promoters	28.2	28.3
Public	71.8	71.7
Total	**100**	**100**

Source: Bloomberg

Au Small Finance Bank (AU SFB) has reported a strong set of numbers for Q4FY22. Bank's profitability was better than our estimates on account of strong loan growth, better margin and lower provisions. Bank saw significant improvement in its asset quality, with GNPAs down by 62 bps QoQ at 1.98%. However, operating performance was adversely impacted by higher opex (due to significant growth in disbursements, inflationary pressures and an additional provision for annual variable pay for the employees). Bank continued to maintain a healthy NIM of 6.3% vs 5.7% YoY/ flat QoQ. Bank has also announced a bonus issue of 1:1 and recommended a dividend of Rs 1 per share (pre-bonus issue).

- NII came in at INR 9366 Mn, +14.2% QoQ / +42.8% YoY and 1% above our est.
- Other Income came in at INR 3114 Mn, +13.0% QoQ / +12.6% YoY and 2% above our est.
- Opex came in at INR 7656 Mn, +20% QoQ / +37% YoY and 11% above our est.
- PPOP came in at INR 4823 Mn, +5.2% QoQ / +29% YoY and 10% below our est.
- Provisions came in at INR 932 Mn, +66.6% QoQ / -47.6% YoY and 29% below our est.
- PAT came in at INR 3461 Mn, +14.6% QoQ / 105% YoY and 14% above our est.
- EPS stood at INR 11.02 vs INR 9.63 / INR 5.49 in Q4FY22 / Q4FY21 respectively.

Valuation and outlook

We like AUSFB's ability to deliver strong operating performance across parameters, particularly in a challenging environment. We expect total business to grow at CAGR of 30% in FY22-24E, with growth in loans and deposits at ~27% and ~33% respectively. Given the secured nature of its lending book (over 90% secured loan book), conservative underwriting mechanism, efficient risk management capabilities, and long runway for growth, we find the stock attractive. However, current valuations at 5.2x its FY23E ABV and 4.4x its FY24E ABV cap stock upsides. Therefore, **we assign 'HOLD' rating with Target Price of Rs 1538/share, valuing the stock at a target multiple of 4.8x FY24E ABV.**

Financial Summary

Y/E Mar (Rs Bn)	FY21	FY22	FY23E	FY24E
NII	24	32	42	54
PAT	12	11	14	18
Net worth	63	75	89	106
Adj BVPS (Rs)	177	231	271	320
EPS (Rs)	37	36	45	57
P/E (x)	38	39	31	25
P/Adj BV (x)	8	6.1	5.2	4.4

Source: Dalal & Broacha Research, Company

Avinash Tanawade
+91 22 67141449
avinash.tanawade@dalal-broacha.com

Financial Highlights

- Disbursements grew by 39% YoY /26% QoQ to Rs 102.95 Bn in Q4FY22 as the operating environment and economic activity improved significantly. AUM grew by 27% YoY/13.8% QoQ to reach Rs 478.31 Bn. Out of which, Wheels segment grew by 11% QoQ (weightage 36%), SBL-MSME segment grew by 8.1% QoQ (weightage 35%), Home Loan grew by 26.4% QoQ (weightage 6%), Commercial Banking grew by 25.5% QoQ (weightage 17%) and other segment grew by 22% (weightage 7%).
- The total number of customers has increased by 16% QoQ /36% YoY to 2.75 Mn as of Mar 31, 2022. With significant investment in people, technology, distribution and brand-building, we strongly believe AU SFB is well-positioned to deliver strong credit growth over the medium term.
- Deposits stood at Rs 52.58 Bn (46.2% YoY/18.8% QoQ). Bank reported 137% YoY growth in CASA deposits in Q4FY22; taking CASA ratio to 37% in Q4FY22 (vs 23% YoY). All these also have to reduce the overall cost of our deposits to 5.8% in FY '22 from 6.7% in in FY21.
- Granularity of deposits continued to improve driven by increasing brand awareness, branch expansion and improved digital offerings. Bank has added 175 new touchpoints during the year within which 122 are liability branches.
- Operational efficiency remained at a high level, with cost to income ratio stood at 61.3% (317 bps QoQ), backed by higher opex growth of 20% QoQ vs net income (NII + other income) growth of 14% QoQ.
- Bank has been investing in strengthening the digital franchise, building digital capabilities for the future (credit cards, merchant solutions, video banking), expanding its distribution and branch franchise, and investing in brand building. Such investments accounted for ~34% of the increase in opex in FY22 vs FY'21. For FY22, Cost to Income is within its target range of 50-55% excluding investments of ~Rs 2.57 Bn in FY22 towards digital initiatives.
- Portfolio quality improved during Q4FY22, with GNPA at 1.998% (down by 62 bps QoQ) and NNPA at 0.50% (down by 79 bps QoQ). Slippages stood at Rs 1.95 Bn in Q4 FY22 (vs Rs 2.49 Bn QoQ). Legal recourse in terms of SARFAESI etc. is well underway in all the eligible cases (5,000+ notices issued) which will significantly aid resolution in the coming quarters.
- Standard Restructured accounts stood at 2.5% of gross advances (vs 3.1% as on 31- Dec'21). As on March 31,2022, billing has commenced for ~98% of the restructured advances. The bank has provided 16% coverage against the standard restructured loans.

Disbursements grew by 39% YoY /26% QoQ to Rs 102.95 Bn in Q4FY22 as the operating environment and economic activity improved significantly

The total number of customers has increased by 16% QoQ /36% YoY to 2.75 Mn as of Mar 31, 2022

Bank reported 137% YoY growth in CASA deposits in Q4FY22; taking CASA ratio to 37% in Q4FY22 (vs 23% YoY)

Bank has added 175 new touchpoints during the year within which 122 are liability branches.

Operational efficiency remained at a high level, with cost to income ratio stood at 61.3% (317 bps QoQ)

For FY22, Cost to Income is within its target range of 50-55% excluding investments of ~Rs 2.57 Bn in FY22 towards digital initiatives

Portfolio quality improved during Q4FY22, with GNPA at 1.998% (down by 62 bps QoQ) and NNPA at 0.50% (down by 79 bps QoQ).

Standard Restructured accounts stood at 2.5% of gross advances (vs 3.1% as on 31- Dec'21).

Financials

P&L (Rs Bn)	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	YoY	QoQ
Interest Earned	12.92	13.53	14.05	14.96	16.67	29.0%	11.4%
Interest Expended	6.37	6.29	6.52	6.76	7.30	14.8%	8.1%
NII	**6.56**	**7.24**	**7.53**	**8.20**	**9.37**	**42.8%**	**14.2%**
Other Income	2.77	2.14	1.92	2.76	3.11	12.6%	13.0%
Net Income	**9.32**	**9.38**	**9.45**	**10.96**	**12.48**	**33.8%**	**13.9%**
Opex	5.59	4.57	5.53	6.38	7.66	37.0%	20.1%
PPOP	**3.74**	**4.81**	**3.92**	**4.58**	**4.82**	**29.0%**	**5.2%**
Provisions	1.78	2.06	0.05	0.56	0.93	-47.6%	66.6%
PBT	**1.96**	**2.75**	**3.88**	**4.02**	**3.89**	**98.5%**	**-3.3%**
Tax	0.27	0.71	1.09	1.00	0.43	59.1%	-57.1%
PAT	**1.69**	**2.03**	**2.79**	**3.02**	**3.46**	**105%**	**14.6%**
Balance sheet (Rs Bn)							
Net worth	63	65	68	71	75	19.7%	5.4%
Deposits	360	370	390	443	526	46.2%	18.8%
Borrowings	70	61	50	46	60	-14.8%	31.1%
Other Liabilities	23	18	25	27	30	29.5%	11.8%
Total Liabilities	**516**	**514**	**532**	**586**	**691**	**33.9%**	**17.8%**
Cash & Bank	48	48	42	27	59	24.0%	118.9%
Investments	108	112	117	141	153	41.5%	8.2%
Advances	346	340	358	402	461	33.2%	14.7%
Other Assets	14	15	15	16	17	26.1%	8.3%
Total Assets	**516**	**514**	**532**	**586**	**691**	**33.9%**	**17.8%**
Key Ratios (%)							
GNPA (%)	4.3	4.3	3.2	2.6	2.0	-227 bps	-62 bps
NNPA (%)	2.2	2.3	1.7	1.3	0.5	-168 bps	-79 bps
PCR (%)	50	49	49	51	75	2530 bps	2421 bps
C/I Ratio (%)	60	49	58	58	61	144 bps	317 bps
C/D Ratio (%)	96	92	92	91	88	-853 bps	-309 bps

P&L (Rs Bn)	FY21	FY22	FY23	FY24
Interest income	49.5	59.2	78.7	102.9
Interest expense	25.8	26.9	36.8	49.3
NII	**23.7**	**32.3**	**41.9**	**53.5**
Non-interest income	14.2	9.9	12.7	15.9
Net revenues	**37.9**	**42.3**	**54.6**	**69.4**
Operating expenses	16.6	24.1	30.9	39.0
PPOP	**21.3**	**18.2**	**23.6**	**30.4**
Provisions	6.7	3.6	4.7	6.4
PBT	**14.6**	**14.5**	**18.9**	**24.0**
Tax	2.9	3.2	4.8	6.1
PAT	**11.7**	**11.3**	**14.2**	**18.0**
Balance sheet	**FY21**	**FY22**	**FY23**	**FY24**
Share capital	3	3	3	3
Reserves & surplus	60	72	85	103
Net worth	**63**	**75**	**89**	**106**
Deposits	360	526	704	931
Borrowings	70	60	51	42
Other liability	23	30	20	22
Total liabilities	**516**	**691**	**863**	**1100**
Fixed assets	5	6	7	8
Investments	108	153	195	242
Loans	346	461	589	747
Cash	48	59	60	91
Other assets	9	11	12	13
Total assets	**516**	**691**	**863**	**1100**

Ratios	FY21	FY22	FY23	FY24
Growth (%)				
NII	24	37	29	28
PPOP	78	-15	30	29
PAT	73	-3	25	27
Advances	28	33	28	27
Deposits	38	46	34	32
Spread (%)				
Yield on Funds	10.9	10.1	10.4	10.7
Cost of Funds	6.5	5.3	5.5	5.7
Spread	4.3	4.8	4.9	5.0
NIM	5.2	5.5	5.5	5.6
Asset quality (%)				
Gross NPAs	4.3	2.0	1.9	2.0
Net NPAs	2.2	0.5	0.6	0.6
Provisions	50	75	70	69
Credit Cost	1.9	0.8	0.8	0.9
Return ratios (%)				
RoE	22.0	16.4	17.3	18.5
RoA	2.5	1.9	1.8	1.8
Per share (Rs)				
EPS	37	36	45	57
BV	201	239	281	336
ABV	177	231	271	320
Valuation (x)				
P/E	37.8	39.5	31.5	24.8
P/BV	7.0	5.9	5.0	4.2
P/ABV	8.0	6.1	5.2	4.4

Source: Dalal & Broacha Research, Company

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.
D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com
D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.
D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time. SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.
D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report-:

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative’s financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any

copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read “Risk Disclosure Document for Capital Market and Derivatives Segments” as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail | FMCG | Logistics
Mr Mayank Babla	Sr. Analyst	mayank.babala@dalal-broacha.com	022-67141412	IT | Telecom | Media
Mr. Avinash Tanawade	Sr. Analyst	avinash.tanawade@dalal-broacha.com	022-67141449	BFSI
Mr, Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022-67141444	Midcaps
Mr. Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022-67141489	FMCG | Retail
Mr. Harsh Shah	Associate	harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | Email: equity.research@dalal-broacha.com